

include previously ineligible debenture issues of very strong telephone and industrial companies. (Curiously enough, no industrial mortgage bond has as yet been approved, but this may serve to confirm our previous statement that good industrial bonds are likely to be debentures.)

The action to date under the 1938 amendment has represented a praiseworthy departure from the unduly narrow restrictions of the statute itself, which we have criticized above. We are by no means convinced, however, that the legislation as it now stands is in really satisfactory form. There seems to be something puerile about enacting a long list of rules and then permitting an administrative body to waive as many of them as it sees fit. Would it not be better to prescribe a few really important criteria, which must be followed in every instance, and then give the Banking Board discretionary power to *exclude* issues that meet these minimum requirements but still are not sound enough in its conservative judgment?

Obligations of Foreign Governments. We have argued against any broad exclusions of entire categories of bonds. But in dealing with foreign-government debts, a different type of reasoning may conceivably be justified. Such issues respond in but small degree to financial analysis, and investment therein is ordinarily based on general considerations, such as confidence in the country's economic and political stability and the belief that it will faithfully endeavor to discharge its obligations. To a much greater extent, therefore, than in the case of other bonds, an opinion may be justified or even necessitated as to the *general desirability* of foreign-government bonds for fixed-value investment.

The Factor of Political Expediency. Viewing objectively the history of foreign-bond investment in this country since it first assumed importance during the World War, it is difficult to escape an unfavorable conclusion on this point. In the final analysis, a foreign-government debt is an unenforceable contract. If payment is withheld, the bondholder has no direct remedy. Even if specific revenues or assets are pledged as security, he is practically helpless in the event that these pledges are broken.¹ It follows

¹ Among the numerous examples of this unhappy fact we may mention the pledge of specific revenues behind the Dawes Loan (German government) 7s, due 1949, and the Sao Paulo Secured 7s, due 1956. Following default of service of these two loans in 1934 and 1932, respectively, nothing whatever was done, or could have been done, to enforce the claim against the pledged revenues.